

Mines and Minerals Act, 1985

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Mines and Minerals Act, 2042 (1985)

Royal Seal and Date of Publication

2042.7.14 (1985)

Amending Acts

1. Mines and Minerals (First Amendment) Act, 2050 (1993) 2051.2.5 (1993)

Date of Certification and Publication

2. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 (2009) 2066.10.7 (2010)

3. Some Nepal Acts Amendment Act, 2072 (2015) 2072.11.13 (2016)

Act No. 28 of the year 2042 (1985)

An Act Made to Provide for Matters relating to Mines and Minerals

Preamble: Whereas, it is expedient to develop the mines and mineral resources existing in the country for the convenience and economic well-being of the general public and for the rapid economic development of the country;

Now, therefore, His Majesty King Birendra Bir Bikram Shah Deva has enacted this Act on the advice and with the consent of the National Panchayat. 1. Short Title and Commencement: (1) This Act may be called the "Mines and Minerals Act, 2042 (1985)".

(2) This Act shall come into force on a date appointed by the Government of Nepal by notification published in the Nepal Gazette. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Mineral" means any inorganic substance having a definite physical property and chemical composition of elements, found on the surface of the earth or within the earth's crust, excluding petroleum and gaseous substances.

(b) "Prospecting Operations" means all types of examination, investigation and feasibility study works carried out to discover mines or minerals or to determine the type, grade, quantity, etc. of minerals.

(c) "Mining Operations" means the work of extracting, producing, beneficiating, processing, transporting, storing or selling and distributing minerals.

(d) "Mining Operations and Prospecting Operations" means prospecting operations and mining operations.

(e) "Permit Holder" means a person who has obtained permission to carry out mining operations pursuant to Section 5.

(f) "Mineral Area" means the area mentioned in the permit for carrying out mining operations.

(g) "Department" means the Department of Mines and Geology of the Government of Nepal.

(h) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules framed under this Act. 3. Property of the Government of Nepal: Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066 (2009). All minerals existing or found on the surface or within the earth's crust of any land, whether private or government-owned, within Nepal shall be the property of the Government of Nepal. Added by the First Amendment.3A.

5. Permission to carry out Mining Operations: (1) Subject to this Act and the rules made under this Act, a person wishing to carry out mining operations shall, in the case of minerals whose quality and quantity have not been ascertained, submit an application to the Department in the prescribed format for permission to carry out prospecting operations first; and in the case of minerals whose quality and quantity have been ascertained, submit an application to the Department in the prescribed format for permission to carry out mining operations, along with the proposed plan for mining operations.

(2) Upon receipt of an application pursuant to sub-section (1), the Department may, after making necessary inquiries, grant permission to carry out mining operations in the prescribed format upon payment of the prescribed fee, if the applicant appears to possess the economic and technical capability and the qualifications necessary for carrying out mining operations.

(3) Notwithstanding anything contained in sub-section (1), the Department may, if it deems appropriate in respect of any particular mineral, enter into a mineral agreement with a person possessing the necessary economic and technical capability and qualifications for mining operations and grant such person permission to carry out mining operations in the prescribed format upon payment of the prescribed fee.

(4) If a person who has obtained permission to carry out prospecting operations pursuant to this Section wishes to obtain permission to carry out mining operations, such person shall submit an application to the Department in the prescribed format before the expiry of the prospecting period, attaching a detailed report of the prospecting operations and the plan for mining operations.

(5) Upon receipt of an application pursuant to sub-section (4), the Department shall, after making necessary inquiries, if the plan for mining operations appears suitable, grant permission to carry out mining operations in the prescribed format upon payment of the prescribed fee.

(6) If the Government of Nepal so desires, it may take an amount equivalent to the direct expenses incurred in such prospecting operations or shares from a person wishing to obtain permission to carry out mining operations for minerals whose grade and quantity have been ascertained through prospecting operations.

(7) While granting permission to carry out mining operations pursuant to this Section, the Department shall also specify the area and duration of the mining operations and, if the Government of Nepal is to become a shareholder, matters relating thereto. 6.

Right to carry out Mining Operations: (1) A person who has obtained permission to carry out prospecting operations for any mineral in any area shall have the right to obtain permission to carry out mining operations for that same mineral in that area. (2) If, during prospecting operations, a permit holder discovers minerals other than those specified in the permit, he shall inform the Department of such discovery within thirty days, and he shall be given priority to carry out mining operations for such minerals. Provided that such person shall not have the right to obtain permission to carry out mining operations for minerals prescribed pursuant to sub-section (3) of Section 12. 7. Renewal of Permit: A permit holder must renew the permit for carrying out

mining operations every year by paying the prescribed fee within the prescribed time. 8. Shape and Area of Mineral Area: The shape and area of a mineral area shall be as prescribed. 9. Prospecting Period: The prospecting period shall be as prescribed according to the nature of the prospecting operations. 10. Mining Period: The mining period shall be as prescribed based on the nature, quantity of the mineral, and the technology, capital, and projected return on investment required for mining operations. 11. Commencement of Mining Operations: (1) A permit holder must commence mining operations within the prescribed period from the date of obtaining permission to carry out mining operations. (2) The procedures and processes to be followed and the conditions to be complied with by a permit holder while carrying out mining operations shall be as prescribed. Added by the First Amendment.11A. Not to cause adverse impact on environment while carrying out mining operations: (1) A person carrying out mining operations must do so in a manner that does not cause a significant adverse impact on the environment. Additionally, such person carrying out mining operations must adopt protective measures as prescribed concerning environmental protection. (2) If it appears that a person carrying out mining operations has caused a significant adverse impact on the environment, the Department shall give necessary instructions to the concerned person to rectify such operations. (3) It shall be the duty of the concerned person to comply with the instructions given pursuant to sub-section (2). Explanation: For the purposes of this Section, "Significant adverse impact on the environment" means the impact as prescribed that may be caused to the environment while carrying out any mining operations. 12.

Special Provisions: (1) The Department may, from the perspective of national security, public interest, or historical importance, declare any area a prohibited area for mining operations or grant permission to carry out mining operations by imposing special conditions in respect of any area. (2) In an area where permission for mining operations has already been granted, the Department may, in a manner that does not cause any hindrance or obstruction to the mining operations of the permit holder, itself carry out mining operations for minerals other than those for which permission has already been granted, or get them carried out by granting permission to any other person. (3) The Government of Nepal may prescribe that mining operations for any specific mineral may only be carried out by the Department or by another government agency designated by the Department. (4) The Government of Nepal may make separate provisions as prescribed in respect of minerals such as ordinary soil, stones, and sand used in construction works, in a manner that does not adversely affect the practice of use by the general public for private purposes. 13. Power to issue Orders: The Department may issue necessary orders to prevent damage to mines or mineral deposits that may be caused by mining operations, injury or loss that may be caused to any person's life or property, damage to any installation, and to prevent land erosion Deleted by the First Amendment.. 14. Export of Minerals: (1) The Government of Nepal may issue an order prohibiting the export of any mineral abroad and impose necessary restrictions for national security or to meet domestic demand and supply. (2) Except in situations where necessary restrictions have been imposed pursuant to sub-section (1), a permit holder shall be entitled to export abroad the minerals extracted by him as prescribed. 15. Possession of Arms for Security: A permit holder may, for the security of life and property in connection with mining operations, possess necessary arms subject to the prevailing law and as decided by the Government of Nepal. 16. Possession of Communication Equipment: A permit holder may, subject to the prevailing law and as decided by the Government of Nepal, possess necessary communication equipment for mining operations. 17. Facilities and Concessions: The facilities and concessions that a permit holder shall receive while carrying out mining operations shall be as prescribed. 18.

Royalty and Other Fees: A permit holder must pay royalty and other fees to the Department at prescribed rates based on the type, grade, and quantity of minerals. 19. Local Development Fee: A permit holder must

pay a local development fee to the prescribed body at a prescribed rate based on the royalty. 20. Notices and Reports: A permit holder must provide the Department with notices and reports as prescribed in the manner prescribed. 21. Acquisition of Land or Entry upon Land: (1) If any land located in an area other than an area prohibited pursuant to sub-section (1) of Section 12 is temporarily or permanently required for mining operations, it may be used or acquired subject to the following matters:- (a) If such land belongs to the Government of Nepal, the permit holder may use it by paying land rent as prescribed to the Government of Nepal. (b) If such land is privately owned, the Government of Nepal may arrange for the permit holder to acquire it at his own expense according to the prevailing law, or arrange for it to be given on land rent. (2) If it is necessary to install any machinery, equipment, or tools on any land for a limited time, or to carry out surveys, mapping, or any other work related to mining operations, entry may be made into such land and such work may be done, subject to sub-section (3). (3) Amended by Some Nepal Acts Amendment Act, 2072 (2015). If the owner of any land is unable to use his land due to mining operations carried out by the Department or a permit holder, or if the crops, trees, houses, goods, or other property on such land are damaged, compensation shall be provided to the concerned landowner, after consultation with the Rural Municipality or Municipality, taking into account the prevailing market rates. 22. Use of Explosive Substances: A permit holder may import, store, transport, and use explosive substances required for mining operations, subject to the conditions decided by the Government of Nepal from time to time and the prevailing law. 23.

Inspection and Investigation: (1) The Department may authorize any expert, officer, or agency to inspect and investigate whether mining operations are being carried out in accordance with this Act and the rules made under this Act. (2) It shall be the duty of the permit holder to allow the expert, officer, or agency authorized pursuant to sub-section (1) to enter any place where mining operations are being carried out or are to be carried out during the course of inspection and investigation, and to provide the documents and details requested by him. 24. Mineral Development Centre: (1) The Government of Nepal may operate a mineral promotion program to develop mines and mineral resources and to provide assistance in mining operations. (2) The Government of Nepal may establish a Mineral Development Centre to operate the program pursuant to sub-section (1). (3) The functions, duties, and powers of the Mineral Development Centre established pursuant to sub-section (2), as well as its working procedures, shall be as prescribed. 25. Punishment: (1) If any person carries out mining operations without obtaining permission to do so under this Act, the Government of Nepal may stop such mining operations, confiscate the machinery, equipment, tools, and goods used in the mining operations, as well as the minerals extracted unauthorizedly, and may also impose a fine of up to one hundred thousand rupees on such person, and may also recover compensation for the damage to property caused by such operations.

Amended by Some Nepal Acts Amendment Act, 2072 (2015). (2) If a permit holder fails to comply with instructions given pursuant to Section 11A or an order given pursuant to Section 13, the Department may suspend the mining operations or cancel the permission to carry out mining operations until such instructions or order are complied with, and if damage is caused to mines or mineral deposits, land erosion occurs, or injury or loss is caused to any person's life or property due to non-compliance with such instructions or order, the Department may impose a fine of up to one hundred thousand rupees and shall also recover reasonable compensation from the permit holder based on the loss.

(3) If a permit holder fails to provide the notice or report required to be submitted to the Department pursuant to Section 20, the Department may suspend the mining operations until such notice or report is submitted.

(4) If a permit holder does any act contrary to this Act or the rules made under this Act, other than those mentioned in this Section, the Department may impose a fine of up to one hundred thousand rupees on him

or cancel the permission granted for carrying out mining operations.

(5) Before taking action pursuant to sub-section (1), (2), (3), or (4), the Department must give the concerned person a reasonable opportunity to submit an explanation.

(6) If any person obstructs, opposes, or prevents the Department or a permit holder from carrying out mining operations under this Act, such person may be punished by an order of an officer designated by the Government of Nepal by notification published in the Nepal Gazette with imprisonment for up to six months or a fine of up to ten thousand rupees or both.

(7) Amended by Some Nepal Acts Amendment Act, 2072 (2015). A person dissatisfied with the order of punishment under sub-section (1), (2), (3), (4), or (6) may appeal to the High Court within thirty-five days. 26.

Arbitration: If any dispute arising between the Government of Nepal and a permit holder in relation to any matter connected with mining operations cannot be settled through mutual consultation, it shall be resolved by arbitration in accordance with the terms specified in the agreement between the parties, and if not specified in the agreement, as prescribed. 27.

Special Power: (1) The Government of Nepal may, if it deems necessary for national security or public interest, immediately stop mining operations and cancel the permission to carry out mining operations. (2) If the Government of Nepal cancels the permission to carry out mining operations pursuant to sub-section (1), it shall provide reasonable compensation for the direct loss or damage caused to the permit holder. 28.

Power to make Rules: (1) The Government of Nepal may make rules to implement the objectives of this Act. (2) Without prejudice to the generality of the power conferred by sub-section (1), rules may be made particularly on the following matters: (a) Qualifications of a person wishing to obtain permission to carry out mining operations, (b) Matters to be included in mineral agreements and permits, (c) Survey, measurement, mapping of mineral areas, and surrender of areas, (d) Procedures to be followed and conditions to be complied with while carrying out mining operations, (e) Amended by the First Amendment. Protective measures to be taken for the safety of life and property and to prevent land erosion and significant adverse impact on the environment while carrying out mining operations, (f) Royalty, fees, and local development fee payable by the permit holder, (g) Accounts of mining operations to be maintained by the permit holder, (h) Notices, reports, and other details to be provided by the permit holder, (i) Procedures relating to inspection and investigation, and (j) Arbitration procedures. 29. Repeal and Saving: (1) The Nepal Mines Act, 2023 (1966) is hereby repealed. (2) Permits relating to minerals granted and actions taken under the Nepal Mines Act, 2023 (1966) shall be deemed to have been granted or taken under this Act.